Interview with Mr. Manish Sinha, CEO, CGTMSE



Can you share the journey of CGTMSE since its inception? What have been the key milestones along the way?

Reply: The journey of the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) since its inception in 2000 has been quite remarkable. CGTMSE was set up by Ministry of MSME, GoI and SIDBI, the Ministry of MSME, Government of India and SIDBI with the aim of providing credit guarantees to financial institutions, enabling them to offer loans to micro and small enterprises without the need for collateral and third party gurantee. This initiative has played a pivotal role in promoting entrepreneurship and financial inclusion across the country.

One of the key milestones in our journey was the launch itself, which marked the beginning of a new era in credit access for micro and small businesses. Initially, we faced challenges in creating awareness and building trust among financial institutions and MSEs. However, through continuous efforts in outreach and education, we were able to establish a robust network of member lending institutions (MLIs).

A series of Policy modifications were introduced in 2018 which helped CGTMSE to expand its business horizon somewhat. For the last 3-4 years, we have been taking continuous steps towards reforming the Schemes, both at the Policy as well as operational level. A significant milestone was the introduction of the revamped Credit Guarantee Scheme (CGS) in 2023, which included several enhancements to make the scheme more attractive and beneficial for both lenders and borrowers. This included increasing the credit guarantee coverage and simplifying the claim settlement process. On the other hand, a total revamp of the technological platform, on which entire operations are carried out, was carried out ensuring ease of business for the lending institutions.

During last year we celebrated a milestone of supporting and guaranteeing more than `3 lakh crore worth MSEs which was one third of the total guarantees approved since the inception of CGTMSE. Throughout, our mission has been to empower micro and small businesses and drive economic growth.

What were some of the key initiatives implemented during the last 3 financial years that significantly contributed to this milestone?

Reply: Over the last three financial years, CGTMSE has implemented several key initiatives that have significantly contributed to our recent milestones. We increased the guarantee ceiling to ₹5 crore and reduced the Annual Guarantee Fee (AGF). We've aligned trading activity with others and raised the waiver of legal action threshold to ₹10 lakh. To better serve our borrowers, we provided concessions in fees and increased the extent of coverage for various borrower categories. We've also collaborated extensively with various State Governments to provide enhanced guarantee coverage to MSEs in the respective States.

We achieved API integration with major banks for the automatic flow of applications and introduced auto approval of guarantee applications. Additionally, we reduced the lock-in period for loans up to ₹10 lakh with a tenure of up to 36 months. Special provisions have been made for MSE borrowers in Identified Credit Deficient Districts (ICDDs) by the RBI, who receive a 10% reduction in the standard rate of guarantee fee and an additional 5% guarantee coverage. Moreover, we've included Informal Micro Enterprises (IME) in the guarantee mechanism, further expanding our support to MSEs.

"CGTMSE plays a key role in facilitating collateral-free credit to MSEs, especially for expansion and risk mitigation. Can you elaborate on how CGTMSE adapts its guarantee framework to support MSEs aiming to scale up?

Reply: At CGTMSE, we constantly refine our guarantee framework to stay aligned with the aspirations and growth plans of MSEs. Over the years, we have expanded our coverage, increased flexibility in product design, and simplified processes so that entrepreneurs can get collateral-free credit quickly and efficiently.

Our aim is to empower MSEs to invest in capacity building, adopt modern technologies, enhance quality standards, and explore new markets with confidence. By reducing the financial risks for lending institutions, we make it easier for MSEs to access the funding they need at crucial stages of their growth journey. Ultimately, we see CGTMSE as more than a facilitator of credit — we are an enabler, helping MSEs scale sustainably and compete successfully on a larger stage.

"With recent initiatives such as increasing gurantee ceiling and digital processes, how is CGTMSE enhancing accessibility and efficiency for first-generation entrepreneurs, women-led ventures, and MSEs in underserved regions?"

Reply: Technology has been a game-changer for CGTMSE in making credit guarantees more accessible and efficient, particularly for first-generation entrepreneurs, women-led ventures, and MSEs in underserved areas. We have also digitised the end-to-end process — from application to approval and settlement — reducing paperwork, turnaround time, and operational hurdles. This not only speeds up access to credit but also makes the process transparent and user-friendly. Our ultimate goal is to evolve the support mechanisms in response to the changing economic landscape by embracing digital transformation and leveraging technology to streamline processes. As part of our constant endeavour to support MSEs, we are enhancing our digital platforms to facilitate quicker and more efficient access to credit guarantees.

"Having crossed the milestone of over 1 crore loan guarantees covering ₹9.34 lakh crore, what does CGTMSE envision as its next frontier—whether through new products, deeper partnerships with states, or sector-specific outreach?

Reply: CGTMSE has covered ₹3.06 lakh crore worth credit guarantee during FY 2025. This is highest ever guarantee approval in an FY. Further, CGTMSE achieved a major milestone by approving its one croreth guarantee. As on March 31, 2025, CGTMSE has approved 1.15 crore number of cumulative guarantees worth ₹9.34 lakh crore. It is worth mentioning that 72% of cumulative guarantees amounting to ₹6.69 lakh crore has been done during last 4 FYs. This remarkable achievement demonstrates the CGTMSE's crucial role in fostering a supportive environment for MSEs and underscores the positive impact of credit guarantee schemes in empowering the MSEs.

Our next frontier is to deepen this impact by innovating products and delivery channels, while our continued work with state governments aims to create blended guarantee models that can further reduce the cost of borrowing for entrepreneurs.

We are also looking at sector-focused strategies to address unique financing gaps — whether in manufacturing, services, or emerging areas like green enterprises and digital-first businesses. At the core of all these efforts is a simple vision: to ensure that every viable MSE, regardless of its size, location, or stage of growth, has timely access to collateral-free credit, enabling it to scale with confidence and resilience.